# NCBA

## The Un-audited financial results of the Bank and Group for the period ended 30th September, 2020.

| I | STATEMENT OF FINANCIAL POSITION | BANK | | | | | COMPANY | | | | | GROUP CONSOLIDATED | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | | 30th Sep, 2020 Un-audited Shs '000 | 30th June, 2020 Un-audited Shs '000 | 31st March, 2020 Un-audited Shs '000 | 31st Dec, 2019 Audited Shs '000 | 30th Sep, 2019 Un-audited Shs '000 | 30th Sep, 2020 Un-audited Shs '000 | 30th June, 2020 Un-audited Shs '000 | 31st March, 2020 Un-audited Shs '000 | 31st Dec, 2019 Audited Shs '000 | 30th Sep, 2019 Un-audited Shs '000 | 30th Sep, 2020 Un-audited Shs '000 | 30th June, 2020 Un-audited Shs '000 | 31st March, 2020 Un-audited Shs '000 | 31st Dec, 2019 Audited Shs '000 | 30th Sep, 2019 Un-audited Shs '000 |
| A | **ASSETS** | | | | | | | | | | | | | | | |
| 1 | Cash ( both Local & Foreign) | 5,854,092 | 5,733,837 | 11,091,439 | 9,183,499 | 4,676,181 | - | - | - | - | - | 7,637,424 | 7,395,722 | 13,038,425 | 10,851,729 | 5,849,488 |
| 2 | Balances due from Central Banks | 13,659,763 | 29,157,389 | 27,598,555 | 23,683,685 | 11,390,912 | - | - | - | - | - | 16,464,779 | 32,579,920 | 30,318,199 | 26,358,325 | 13,072,758 |
| 3 | Kenyan Government securities held for dealing purposes | - | - | - | - | - | - | - | - | - | - | - | - | - | - | - |
| 4 | Financial assets at fair value through profit & loss | 762,855 | 766,052 | 631,463 | 708,122 | 499,684 | - | - | - | - | - | 1,093,066 | 1,301,947 | 1,177,740 | 1,097,844 | 499,684 |
| 5 | Investment Securities: | | | | | | | | | | | | | | | |
| | **a) Held to Maturity** | | | | | | | | | | | | | | | |
| | a. Kenya Government securities | 90,495,486 | 89,749,224 | 80,598,303 | 79,507,225 | 54,799,283 | - | - | - | - | - | 90,495,486 | 89,749,224 | 80,598,303 | 79,507,225 | 54,799,283 |
| | b. Other securities | 4,787,203 | 4,634,334 | 8,697,923 | 8,183,003 | 7,231,541 | - | - | - | - | - | 12,969,765 | 11,184,124 | 14,880,539 | 12,979,477 | 10,789,108 |
| | **b) Available for sale:** | | | | | | | | | | | | | | | |
| | a. Kenya Government securities | 60,941,195 | 65,154,297 | 55,950,587 | 49,500,824 | 13,982,552 | - | - | - | - | - | 60,941,195 | 65,154,297 | 55,950,587 | 49,500,824 | 13,982,552 |
| | b. Other securities | 54,800 | 54,632 | 65,226 | 68,663 | 64,883 | - | - | - | - | - | 1,758,514 | 2,869,897 | 2,062,875 | 3,033,922 | 2,258,774 |
| 6 | Deposits and balances due from local banking institutions | 569,740 | 65,465 | 7,911,788 | 4,783,674 | 4,167,717 | - | - | - | - | - | 651,545 | 471,566 | 8,169,174 | 5,617,504 | 5,732,914 |
| 7 | Deposits and balances due from banking institutions abroad | 31,591,793 | 16,721,683 | 18,920,994 | 16,839,936 | 16,174,047 | - | - | - | - | - | 36,899,339 | 19,032,985 | 21,455,786 | 19,951,625 | 16,639,153 |
| 8 | Tax recoverable | - | 463,157 | - | - | - | 21,717 | 17,435 | - | - | 18,150 | 169,440 | 940,875 | 337,557 | 268,080 | 413,093 |
| 9 | Loans and advances to customers (net) | 225,177,133 | 225,738,081 | 223,696,774 | 227,868,480 | 116,703,635 | - | - | - | - | - | 249,690,174 | 248,306,422 | 245,858,007 | 249,355,409 | 128,915,722 |
| 10 | Balances due from banking institutions in the group | 3,978,835 | 2,059,923 | 1,820,189 | 3,238,061 | 2,626,143 | 539,175 | 640,263 | 514,559 | 519,697 | 459,452 | - | - | - | - | - |
| 11 | Investments in associates | 2,701,492 | 2,701,492 | 2,701,492 | 2,701,492 | 2,701,492 | - | - | - | - | - | 3,768,955 | 3,768,955 | 3,768,955 | 3,768,955 | 3,724,975 |
| 12 | Investments in subsidiary companies | 10,541,313 | 10,151,313 | 8,930,444 | 8,554,544 | 8,554,544 | 62,720,446 | 62,420,446 | 62,420,446 | 62,420,446 | 29,628,705 | - | - | - | - | - |
| 13 | Investments in joint ventures | - | - | - | - | - | - | - | - | - | - | - | - | - | - | - |
| 14 | Investment properties | - | - | - | - | - | - | - | - | - | - | - | - | - | - | - |
| 15 | Property and equipment | 3,798,459 | 3,436,715 | 3,567,517 | 3,394,351 | 3,784,513 | - | - | - | - | - | 5,173,111 | 4,658,630 | 4,963,485 | 3,844,075 | 4,556,164 |
| 16 | Prepaid lease rentals | 6,406 | 6,437 | 6,479 | 6,500 | - | - | - | - | - | - | 522,406 | 522,437 | 522,479 | 522,500 | - |
| 17 | Intangible assets | 5,562,266 | 6,277,026 | 6,426,687 | 6,766,497 | 2,858,575 | - | - | - | - | - | 5,802,011 | 6,490,594 | 6,689,101 | 7,008,902 | 2,909,915 |
| 18 | Deferred tax asset | 8,506,540 | 6,624,393 | 6,792,484 | 6,792,702 | 2,072,924 | 13,321 | 13,321 | 15,984 | 15,984 | - | 8,797,430 | 6,742,230 | 7,157,366 | 7,085,373 | 3,235,566 |
| 19 | Retirement benefit asset | - | - | - | - | - | - | - | - | - | - | - | - | - | - | - |
| 20 | Other assets | 15,399,854 | 11,302,269 | 12,266,606 | 13,109,427 | 3,956,061 | 633 | 1,266 | 1,900 | - | 125 | 16,334,175 | 12,860,251 | 12,646,643 | 14,091,632 | 4,639,911 |
| **21** | **TOTAL ASSETS** | **484,389,225** | **480,797,719** | **477,674,950** | **464,890,685** | **256,244,687** | **63,295,292** | **63,092,731** | **62,952,889** | **62,956,127** | **30,106,432** | **519,168,815** | **514,030,076** | **509,595,221** | **494,843,401** | **272,019,060** |
| B | **LIABILITIES** | | | | | | | | | | | | | | | |
| 22 | Balances due to Central Banks | - | - | - | - | - | - | - | - | - | - | - | - | - | - | - |
| 23 | Customer deposits | 373,431,180 | 361,843,101 | 363,463,600 | 353,618,522 | 197,846,256 | - | - | - | - | - | 402,628,237 | 390,488,899 | 390,529,283 | 378,237,043 | 214,153,487 |
| 24 | Deposits and balances due to local banking institutions | 63,351 | 3,654,148 | 554,796 | 549,701 | 59,985 | - | - | - | - | - | 63,351 | 4,047,186 | 2,537,097 | 3,570,901 | 665,475 |
| 25 | Deposits and balances due to foreign banking institutions | 7,851,752 | 7,316,027 | 4,649,719 | 6,136,598 | 344,349 | - | - | - | - | - | 11,653,040 | 9,031,428 | 6,331,229 | 7,322,009 | 804,597 |
| 26 | Other money market deposits | - | - | - | - | - | - | - | - | - | - | - | - | - | - | - |
| 27 | Borrowed funds | 14,360,422 | 21,416,426 | 22,317,329 | 22,081,244 | 15,139,406 | - | - | - | - | - | 14,360,422 | 21,416,426 | 22,317,329 | 22,081,244 | 15,139,406 |
| 28 | Balances due to banking institutions in the group | 816,331 | 289,263 | 966,503 | 283,905 | 132,512 | - | - | - | - | - | - | - | - | - | - |
| 29 | Tax payable | 803,976 | - | 1,025,328 | 283,425 | 148,882 | - | - | 4,630 | 5,623 | - | 524,847 | 1,186 | 899,829 | 13,027 | 158,343 |
| 30 | Dividends payable | - | - | - | - | - | 35,495 | 36,311 | 36,501 | 37,819 | 40,396 | 35,495 | 36,311 | 36,501 | 37,819 | - |
| 31 | Deferred tax liability | - | - | - | - | - | - | - | - | - | - | 21,078 | 22,397 | 21,183 | 21,340 | 21,762 |
| 32 | Retirement benefit liability | - | - | - | - | - | - | - | - | - | - | - | - | - | - | - |
| 33 | Other liabilities | 14,508,694 | 14,112,741 | 13,605,476 | 12,521,035 | 7,026,242 | 318,770 | 109,582 | 121,312 | 119,921 | 52,922 | 19,249,912 | 18,684,123 | 18,106,612 | 16,300,193 | 8,625,994 |
| **34** | **TOTAL LIABILITIES** | **411,835,706** | **408,631,706** | **406,582,751** | **395,474,430** | **220,697,632** | **354,265** | **145,893** | **162,443** | **163,363** | **93,318** | **448,536,382** | **443,727,956** | **440,779,063** | **427,583,576** | **239,569,064** |
| C | **SHAREHOLDERS' FUNDS** | | | | | | | | | | | | | | | |
| 35 | Paid up /Assigned capital | 10,859,384 | 10,859,384 | 10,859,384 | 10,859,384 | 5,755,468 | 8,237,597 | 7,488,725 | 7,488,725 | 7,488,725 | 3,519,701 | 8,237,597 | 7,488,725 | 7,488,725 | 7,488,725 | 3,519,701 |
| 36 | Share Premium | 33,406,022 | 33,406,022 | 33,406,022 | 33,406,022 | 5,036,649 | 21,424,316 | 22,179,426 | 22,179,426 | 22,179,426 | 2,373,994 | 21,424,316 | 22,179,426 | 22,179,426 | 22,179,426 | 2,373,994 |
| 37 | Revaluation reserves | - | - | - | - | - | - | - | - | - | - | - | - | - | - | - |
| 38 | Retained earnings | 26,879,949 | 26,899,503 | 25,973,194 | 22,280,987 | 23,803,376 | 33,279,114 | 33,278,687 | 33,122,295 | 30,877,995 | 24,119,419 | 39,359,461 | 39,530,018 | 38,589,158 | 35,962,429 | 24,613,174 |
| 39 | Statutory loan reserves | 1,239,956 | 1,239,956 | 1,239,956 | - | 656,295 | - | - | - | - | - | 1,613,144 | 1,531,712 | 1,466,055 | 199,378 | 1,605,516 |
| 40 | Other reserves | 168,208 | (238,852) | (386,357) | (330,138) | 295,267 | - | - | - | - | - | (224,813) | (673,835) | (1,158,115) | (1,083,969) | 337,611 |
| 41 | Proposed dividends | - | - | - | 3,200,000 | - | - | - | - | 2,246,618 | - | - | - | - | 2,246,618 | - |
| 42 | Capital grants | - | - | - | - | - | - | - | - | - | - | - | - | - | - | - |
| | | **72,553,519** | **72,166,013** | **71,092,199** | **69,416,255** | **35,547,055** | **62,941,027** | **62,946,838** | **62,790,446** | **62,792,764** | **30,013,114** | **70,409,705** | **70,056,046** | **68,565,249** | **66,992,607** | **32,449,996** |
| 43 | Non-controlling interests | - | - | - | - | - | - | - | - | - | - | 222,728 | 246,074 | 250,909 | 267,218 | - |
| **44** | **TOTAL SHAREHOLDERS' FUNDS** | **72,553,519** | **72,166,013** | **71,092,199** | **69,416,255** | **35,547,055** | **62,941,027** | **62,946,838** | **62,790,446** | **62,792,764** | **30,013,114** | **70,632,433** | **70,302,120** | **68,816,158** | **67,259,825** | **32,449,996** |
| **45** | **TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS** | **484,389,225** | **480,797,719** | **477,674,950** | **464,890,685** | **256,244,687** | **63,295,292** | **63,092,731** | **62,952,889** | **62,956,127** | **30,106,432** | **519,168,815** | **514,030,076** | **509,595,221** | **494,843,401** | **272,019,060** |
| **II** | **STATEMENT OF COMPREHENSIVE INCOME** | | | | | | | | | | | | | | | |
| **1** | **INTEREST INCOME** | | | | | | | | | | | | | | | |
| 1.1 | Loans and advances | 16,742,009 | 11,215,780 | 5,543,337 | 13,667,871 | 7,974,455 | - | - | - | - | - | 17,908,065 | 12,039,227 | 6,194,894 | 15,703,106 | 9,030,775 |
| 1.2 | Government securities | 11,880,978 | 7,667,429 | 3,591,806 | 8,597,211 | 4,999,681 | - | - | - | - | - | 12,624,932 | 8,166,853 | 3,825,512 | 9,174,993 | 5,464,337 |
| 1.3 | Deposits and placements with banking institutions | 432,782 | 318,842 | 88,634 | 432,322 | 366,257 | 26,233 | 16,676 | 8,569 | 38,109 | 29,408 | 552,418 | 423,494 | 133,690 | 536,279 | 438,394 |
| 1.4 | Other interest income | 80,267 | 51,070 | 22,228 | 99,453 | 97,168 | - | - | - | - | - | 80,267 | 51,070 | 22,228 | 99,453 | 97,168 |
| **1.5** | **TOTAL INTEREST INCOME** | **29,136,036** | **19,253,121** | **9,246,005** | **22,796,857** | **13,437,561** | **26,233** | **16,676** | **8,569** | **38,109** | **29,408** | **31,165,682** | **20,680,644** | **10,176,324** | **25,513,831** | **15,030,674** |
| **2** | **INTEREST EXPENSE** | | | | | | | | | | | | | | | |
| 2.1 | Customer deposits | 11,657,752 | 7,705,043 | 3,799,682 | 9,653,133 | 5,720,307 | - | - | - | - | - | 12,734,461 | 8,418,522 | 4,151,142 | 10,580,382 | 6,268,621 |
| 2.2 | Deposits and placement from banking institutions | 152,415 | 92,742 | 53,259 | 146,605 | 68,307 | - | - | - | - | - | 332,866 | 227,513 | 111,236 | 293,135 | 163,413 |
| 2.3 | Other interest expenses | 1,136,820 | 814,294 | 411,452 | 1,289,735 | 855,950 | - | - | - | - | - | 1,137,476 | 821,035 | 414,859 | 1,302,421 | 855,950 |
| **2.4** | **TOTAL INTEREST EXPENSE** | **12,946,987** | **8,612,079** | **4,264,393** | **11,089,473** | **6,644,564** | **-** | **-** | **-** | **-** | **-** | **14,204,803** | **9,467,070** | **4,677,237** | **12,175,938** | **7,287,984** |
| **3** | **NET INTEREST INCOME** | **16,189,049** | **10,641,042** | **4,981,612** | **11,707,384** | **6,792,997** | **26,233** | **16,676** | **8,569** | **38,109** | **29,408** | **16,960,879** | **11,213,574** | **5,499,087** | **13,337,893** | **7,742,690** |
| **4** | **NON - INTEREST INCOME** | | | | | | | | | | | | | | | |
| 4.1 | Fees and commissions on loans and advances | 7,442,143 | 3,383,242 | 2,710,791 | 8,585,854 | 4,477,310 | - | - | - | - | - | 9,448,015 | 4,687,299 | 3,152,967 | 9,392,394 | 5,093,833 |
| 4.2 | Other fees and commissions | 1,794,072 | 2,374,961 | 721,831 | 2,174,957 | 2,441,724 | - | - | - | - | - | 1,955,916 | 2,516,141 | 818,810 | 2,504,248 | 2,643,096 |
| 4.3 | Foreign exchange trading income | 2,810,182 | 1,783,777 | 948,641 | 2,652,455 | 1,734,750 | - | - | - | - | - | 3,051,614 | 1,928,674 | 1,010,514 | 2,842,327 | 1,855,423 |
| 4.4 | Dividend income | 23,396 | 23,396 | 23,396 | 139,900 | - | 175,000 | 175,000 | - | 1,300,000 | 1,050,000 | 23,396 | 23,396 | 23,396 | - | - |
| 4.5 | Other income | 896,264 | 518,079 | 220,049 | 972,024 | 281,274 | 150,200 | 98,131 | 47,298 | 9,275,046 | 199,228 | 1,628,632 | 919,851 | 417,434 | 5,582,864 | 558,065 |
| **4.6** | **TOTAL NON-INTEREST INCOME** | **12,966,057** | **8,083,455** | **4,624,708** | **14,525,190** | **8,935,058** | **325,200** | **273,131** | **47,298** | **10,575,046** | **1,249,228** | **16,107,573** | **10,075,361** | **5,423,121** | **20,321,833** | **10,150,417** |
| **5** | **TOTAL OPERATING INCOME** | **29,155,106** | **18,724,497** | **9,606,320** | **26,232,574** | **15,728,055** | **351,433** | **289,807** | **55,867** | **10,613,155** | **1,278,636** | **33,068,452** | **21,288,935** | **10,922,208** | **33,659,726** | **17,893,107** |
| **6** | **OPERATING EXPENSES** | | | | | | | | | | | | | | | |
| 6.1 | Loan loss provision | 12,569,830 | 7,079,014 | 3,337,216 | 5,984,982 | 1,885,016 | - | - | - | - | - | 13,351,780 | 7,625,535 | 3,775,232 | 6,250,273 | 1,989,282 |
| 6.2 | Staff costs | 4,032,370 | 2,646,175 | 1,253,450 | 4,384,528 | 2,591,900 | 48,929 | 28,075 | 16,089 | 121,106 | 94,955 | 5,313,164 | 3,503,010 | 1,680,287 | 5,582,121 | 3,347,771 |
| 6.3 | Directors' emoluments | 90,098 | 76,898 | 62,004 | 323,364 | 122,912 | 115,258 | 79,387 | 35,879 | 104,619 | 72,001 | 308,346 | 224,795 | 129,858 | 426,873 | 150,258 |
| 6.4 | Rental charges | 861,918 | 574,838 | 303,112 | 819,518 | 558,951 | - | - | - | 1,286 | 1,158 | 1,043,314 | 733,702 | 343,408 | 895,895 | 656,091 |
| 6.5 | Depreciation charge on property and equipment | 458,072 | 307,204 | 132,437 | 380,845 | 332,219 | - | - | - | - | - | 717,374 | 406,651 | 196,423 | 642,948 | 490,385 |
| 6.6 | Amortisation charges | 704,412 | 466,346 | 232,516 | 615,950 | 499,235 | - | - | - | - | - | 716,734 | 478,942 | 245,526 | 644,133 | 509,378 |
| 6.7 | Other operating expenses | 5,895,769 | 3,273,255 | 1,531,548 | 4,433,507 | 2,590,018 | 21,742 | 14,419 | 7,210 | 32,322 | 25,621 | 7,168,338 | 4,018,163 | 1,939,645 | 5,915,085 | 3,633,461 |
| **6.8** | **TOTAL OPERATING EXPENSES** | **24,612,469** | **14,423,730** | **6,852,283** | **16,942,694** | **8,580,251** | **185,929** | **121,881** | **59,178** | **259,333** | **193,735** | **28,619,050** | **16,990,798** | **8,310,379** | **20,357,328** | **10,776,626** |
| 7 | Profit before tax and exceptional items | 4,542,637 | 4,300,767 | 2,754,037 | 9,289,880 | 7,147,804 | 165,504 | 167,926 | (3,311) | 10,353,822 | 1,084,901 | 4,449,402 | 4,298,137 | 2,611,829 | 13,302,398 | 7,116,481 |
| 8 | Exceptional items | 661,875 | 391,250 | 195,625 | 1,176,313 | 330,000 | - | - | - | 62,771 | - | 661,875 | 391,250 | 195,625 | 2,132,719 | 330,000 |
| **9** | **PROFIT AFTER EXCEPTIONAL ITEMS** | **3,880,762** | **3,909,517** | **2,558,412** | **8,113,567** | **6,817,804** | **165,504** | **167,926** | **(3,311)** | **10,291,051** | **1,084,901** | **3,787,527** | **3,906,887** | **2,416,204** | **11,169,679** | **6,786,481** |
| 10 | Share of associate profit | - | - | - | - | - | - | - | - | - | - | - | - | - | 143,880 | - |
| **11** | **PROFIT/(LOSS) BEFORE TAX** | **3,880,762** | **3,909,517** | **2,558,412** | **8,113,567** | **6,817,804** | **165,504** | **167,926** | **(3,311)** | **10,291,051** | **1,084,901** | **3,787,527** | **3,906,887** | **2,416,204** | **11,313,559** | **6,786,481** |
| 12 | Current tax | (3,193,569) | (1,146,171) | (767,772) | (2,850,954) | (2,091,020) | (8,340) | (11,189) | 993 | (51,425) | (10,470) | (3,214,316) | (1,164,605) | (785,125) | (2,846,770) | (2,180,461) |
| 13 | Deferred tax | 1,951,726 | (104,875) | - | 827,086 | - | (2,663) | (2,663) | - | 15,984 | - | 1,946,480 | (110,121) | - | (625,013) | - |
| **14** | **PROFIT AFTER TAX AND EXCEPTIONAL ITEMS** | **2,638,919** | **2,658,471** | **1,790,640** | **6,089,699** | **4,726,784** | **154,501** | **154,074** | **(2,318)** | **10,255,610** | **1,074,431** | **2,519,691** | **2,632,161** | **1,631,079** | **7,841,776** | **4,606,020** |
| 15 | Other Comprehensive Income: | | | | | | | | | | | | | | | |
| 15.1 | Exchange differences on translation of foreign operations | - | - | - | - | - | - | - | - | - | - | 239,087 | 222,246 | 27,818 | 282,035 | (1,159) |
| 15.2 | Fair value changes in available-for-sale financial assets | 498,346 | 91,286 | (56,219) | (306,560) | 318,844 | - | - | - | - | - | 620,069 | 187,888 | (101,964) | (369,698) | 345,809 |
| 15.3 | Revaluation surplus on property, plant and equipment | - | - | - | - | - | - | - | - | - | - | - | - | - | - | - |
| 15.4 | Share of comprehensive income of associates | - | - | - | - | - | - | - | - | - | - | - | - | - | - | - |
| 15.5 | Income tax relating to components of other comprehensive income | - | - | - | - | - | - | - | - | - | - | - | - | - | - | - |
| **16** | **OTHER COMPREHENSIVE INCOME FOR THE PERIOD NET OF TAX** | **498,346** | **91,286** | **(56,219)** | **(306,560)** | **318,844** | **-** | **-** | **-** | **-** | **-** | **859,156** | **410,134** | **(74,146)** | **(87,663)** | **344,650** |
| **17** | **TOTAL COMPREHENSIVE INCOME FOR THE PERIOD** | **3,137,265** | **2,749,757** | **1,734,421** | **5,783,139** | **5,045,628** | **154,501** | **154,074** | **(2,318)** | **10,255,610** | **1,074,431** | **3,378,847** | **3,042,295** | **1,556,933** | **7,754,113** | **4,950,670** |
| | **EARNINGS PER SHARE- BASIC & DILUTED (Shs)** | **4.86** | **4.90** | **3.30** | **17.32** | **16.43** | **0.10** | **0.10** | **-** | **11.36** | **1.53** | **1.65** | **1.76** | **1.09** | **8.69** | **16.01** |
| | **INTERIM DIVIDEND PER SHARE - DECLARED (Shs)** | **-** | **-** | **-** | **4.88** | **-** | **-** | **-** | **-** | **0.25** | **0.25** | **-** | **-** | **-** | **0.25** | **-** |
| | **FINAL DIVIDEND PER SHARE - DECLARED (Shs)** | **-** | **-** | **-** | **-** | **-** | **-** | **-** | **-** | **-** | **-** | **-** | **-** | **-** | **-** | **-** |

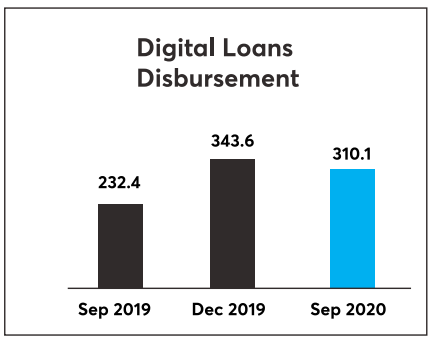
# NCBA

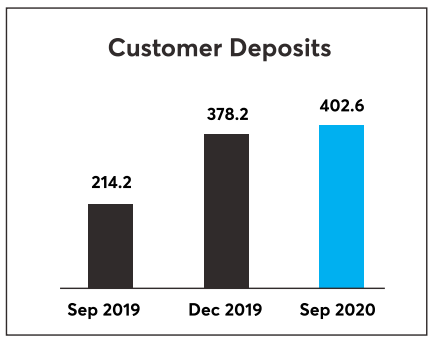
## The Un-audited financial results of the Bank and Group for the period ended 30th September, 2020.

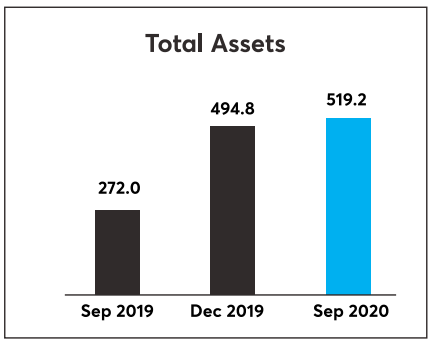
| III OTHER DISCLOSURES | BANK | | | | | COMPANY | | | | | GROUP CONSOLIDATED | | | | |
|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|---|
| | 30th Sep, 2020 Un-audited Shs '000 | 30th June, 2020 Un-audited Shs '000 | 31st March, 2020 Un-audited Shs '000 | 31st Dec, 2019 Audited Shs '000 | 30th Sep, 2019 Un-audited Shs '000 | 30th Sep, 2020 Un-audited Shs '000 | 30th June, 2020 Un-audited Shs '000 | 31st March, 2020 Un-audited Shs '000 | 31st Dec, 2019 Audited Shs '000 | 30th Sep, 2019 Un-audited Shs '000 | 30th Sep, 2020 Un-audited Shs '000 | 30th June, 2020 Un-audited Shs '000 | 31st March, 2020 Un-audited Shs '000 | 31st Dec, 2019 Audited Shs '000 | 30th Sep, 2019 Un-audited Shs '000 |
| **1 NON-PERFORMING LOANS AND ADVANCES** | | | | | | | | | | | | | | | |
| (a) Gross Non-performing loans and advances | 34,276,756 | 34,949,715 | 34,747,568 | 30,515,948 | 12,532,821 | - | - | - | - | - | 38,433,255 | 38,677,728 | 38,849,070 | 33,658,667 | 14,637,063 |
| (b) Less Interest in Suspense | 5,950,292 | 6,403,444 | 6,906,205 | 6,207,777 | 2,762,421 | - | - | - | - | - | 6,486,175 | 6,938,280 | 7,428,215 | 6,697,150 | 3,029,632 |
| **(c)TOTAL NON-PERFORMING LOANS AND ADVANCES (a-b)** | **28,326,464** | **28,546,271** | **27,841,363** | **24,308,171** | **9,770,400** | **-** | **-** | **-** | **-** | **-** | **31,947,080** | **31,739,448** | **31,420,855** | **26,961,517** | **11,607,431** |
| (d) Less Loan Loss Provision | 13,458,048 | 12,174,903 | 11,606,693 | 10,318,641 | 7,648,376 | - | - | - | - | - | 15,905,748 | 14,177,373 | 13,750,594 | 12,114,762 | 8,440,332 |
| **(e) NET NON-PERFORMING LOANS AND ADVANCES(c-d)** | **14,868,416** | **16,371,368** | **16,234,670** | **13,989,530** | **2,122,024** | **-** | **-** | **-** | **-** | **-** | **16,041,332** | **17,562,075** | **17,670,261** | **14,846,755** | **3,167,099** |
| (f) Discounted Value of Securities | 14,868,416 | 16,371,368 | 16,234,670 | 13,989,530 | 2,122,024 | - | - | - | - | - | 16,041,332 | 17,562,075 | 17,670,261 | 14,846,755 | 3,167,099 |
| **(g) NET NPLS EXPOSURE (e-f)** | **-** | **-** | **-** | **-** | **-** | **-** | **-** | **-** | **-** | **-** | **-** | **-** | **-** | **-** | **-** |
| **2 INSIDER LOANS AND ADVANCES** | | | | | | | | | | | | | | | |
| (a) Directors, shareholders and associates | 15,703,035 | 14,285,024 | 13,428,178 | 14,211,932 | 5,670,332 | - | - | - | - | - | 15,776,655 | 14,438,023 | 13,596,168 | 14,371,749 | 5,670,332 |
| (b) Employees | 4,936,395 | 4,971,634 | 5,105,152 | 5,150,274 | 2,888,992 | - | - | - | - | - | 5,698,631 | 5,686,945 | 5,453,673 | 5,487,678 | 3,483,501 |
| **(c)TOTAL INSIDER LOANS AND ADVANCES AND OTHER FACILITIES** | **20,639,430** | **19,256,658** | **18,533,330** | **19,362,206** | **8,559,324** | **-** | **-** | **-** | **-** | **-** | **21,475,286** | **20,124,968** | **19,049,841** | **19,859,427** | **9,153,833** |
| **3 OFF-BALANCE SHEET ITEMS** | | | | | | | | | | | | | | | |
| (a) Letters of credit, guarantees, acceptances | 54,906,105 | 51,694,865 | 53,500,052 | 49,607,900 | 21,881,558 | - | - | - | - | - | 60,277,902 | 56,823,746 | 58,496,837 | 54,413,720 | 26,071,616 |
| (b) Forwards, Swaps and options | 7,262,574 | 11,188,816 | 6,813,414 | 5,003,287 | 9,793,838 | - | - | - | - | - | 7,262,574 | 11,188,816 | 6,813,414 | 5,003,287 | 9,793,838 |
| (c) Other contingent liabilities | - | - | - | - | - | - | - | - | - | - | - | - | - | - | - |
| **(d)TOTAL CONTINGENT LIABILITIES** | **62,168,679** | **62,883,681** | **60,313,466** | **54,611,187** | **31,675,396** | **-** | **-** | **-** | **-** | **-** | **67,540,476** | **68,012,562** | **65,310,251** | **59,417,007** | **35,865,454** |
| **4 CAPITAL STRENGTH** | | | | | | | | | | | | | | | |
| (a) Core capital | 62,953,204 | 64,213,108 | 65,570,928 | 62,561,322 | 26,041,569 | - | - | - | - | - | 64,273,785 | 66,160,553 | 67,925,322 | 63,835,814 | 25,920,807 |
| (b) Minimum Statutory Capital | 1,000,000 | 1,000,000 | 1,000,000 | 1,000,000 | 1,000,000 | - | - | - | - | - | 1,000,000 | 1,000,000 | 1,000,000 | 1,000,000 | 1,000,000 |
| **(c) Excess (a-b)** | **61,953,204** | **63,213,108** | **64,570,928** | **61,561,322** | **25,041,569** | **-** | **-** | **-** | **-** | **-** | **63,273,785** | **65,160,553** | **66,925,322** | **62,835,814** | **24,920,807** |
| (d) Supplementary Capital | 1,946,688 | 3,324,312 | 2,068,966 | 2,620,795 | 2,056,295 | - | - | - | - | - | 2,319,876 | 3,616,068 | 2,295,065 | 2,820,173 | 2,133,992 |
| **(e) TOTAL CAPITAL (a+d)** | **64,899,892** | **67,537,420** | **67,639,894** | **65,182,117** | **28,097,864** | **-** | **-** | **-** | **-** | **-** | **66,593,661** | **69,776,621** | **70,220,387** | **66,655,987** | **28,054,799** |
| **(f)TOTAL RISK WEIGHTED ASSETS** | **348,227,217** | **347,883,542** | **347,277,838** | **350,879,900** | **172,876,007** | | | | | | **381,366,029** | **376,801,591** | **379,147,134** | **384,348,562** | **190,928,137** |
| (g) Core Capital / Total deposits liabilities | 16.86% | 17.75% | 18.04% | 17.69% | 13.16% | - | - | - | - | - | 15.96% | 16.94% | 17.39% | 16.88% | 12.10% |
| (h) Minimum statutory ratio | 8.00% | 8.00% | 8.00% | 8.00% | 8.00% | - | - | - | - | - | 8.00% | 8.00% | 8.00% | 8.00% | 8.00% |
| **(I) Excess (g-h)** | **8.86%** | **9.75%** | **10.04%** | **9.69%** | **5.16%** | **-** | **-** | **-** | **-** | **-** | **7.96%** | **8.94%** | **9.39%** | **8.88%** | **4.10%** |
| (j) Core Capital / Total risk weighted assets | 18.08% | 18.46% | 18.88% | 17.83% | 15.06% | - | - | - | - | - | 16.85% | 17.56% | 17.92% | 16.61% | 13.58% |
| (k) Minimum statutory ratio | 10.50% | 10.50% | 10.50% | 10.50% | 10.50% | - | - | - | - | - | 10.50% | 10.50% | 10.50% | 10.50% | 10.50% |
| **(l) Excess (j-k)** | **7.58%** | **7.96%** | **8.38%** | **7.33%** | **4.56%** | **-** | **-** | **-** | **-** | **-** | **6.35%** | **7.06%** | **7.42%** | **6.11%** | **3.08%** |
| (m) Total Capital / Total risk weighted assets | 18.64% | 19.41% | 19.48% | 18.58% | 16.25% | - | - | - | - | - | 17.46% | 18.52% | 18.52% | 17.34% | 14.69% |
| (n) Minimum statutory ratio | 14.50% | 14.50% | 14.50% | 14.50% | 14.50% | - | - | - | - | - | 14.50% | 14.50% | 14.50% | 14.50% | 14.50% |
| **(o) Excess (m-n)** | **4.14%** | **4.91%** | **4.98%** | **4.08%** | **1.75%** | **-** | **-** | **-** | **-** | **-** | **2.96%** | **4.02%** | **4.02%** | **2.84%** | **0.19%** |
| (p) Adjusted Core Capital / Total deposits liabilities* | 17.33% | 17.94% | 18.33% | 18.55% | 13.59% | - | - | - | - | - | 16.10% | 17.12% | 17.69% | 17.76% | 12.16% |
| (q) Adjusted Core Capital / Total risk weighted assets* | 18.58% | 18.66% | 19.18% | 18.69% | 15.58% | - | - | - | - | - | 17.00% | 17.74% | 18.22% | 17.47% | 13.88% |
| (r) Adjusted Total Capital / Total risk weighted assets* | 19.14% | 19.61% | 19.78% | 19.44% | 17.15% | - | - | - | - | - | 17.61% | 18.70% | 18.82% | 18.21% | 15.77% |
| **5 LIQUIDITY** | | | | | | | | | | | | | | | |
| (a) Liquidity Ratio | 53.17% | 54.65% | 54.55% | 50.95% | 53.30% | - | - | - | - | - | 53.36% | 54.88% | 55.54% | 51.83% | 50.71% |
| (b) Minimum statutory ratio | 20.00% | 20.00% | 20.00% | 20.00% | 20.00% | - | - | - | - | - | 20.00% | 20.00% | 20.00% | 20.00% | 20.00% |
| **(c) Excess (a-b)** | **33.17%** | **34.65%** | **34.55%** | **30.95%** | **33.30%** | **-** | **-** | **-** | **-** | **-** | **33.36%** | **34.88%** | **35.54%** | **31.83%** | **30.71%** |

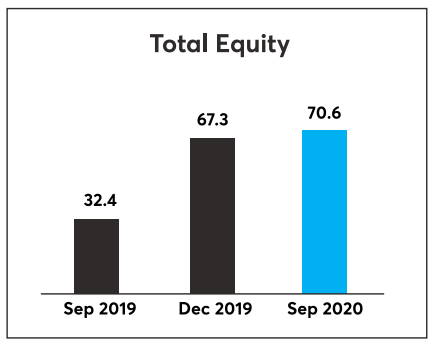
* The adjusted capital ratios include the expected credit loss provisions added back to Capital in line with Central Bank of Kenya guidance note issued in April 2018 on implementation of IFRS 9.

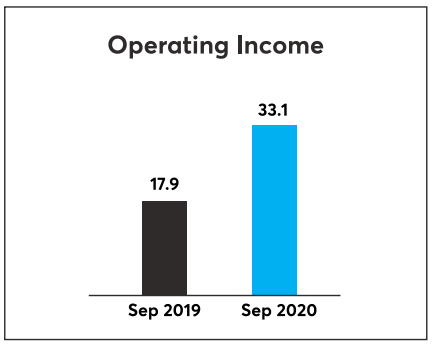
## KEY GROWTH HIGHLIGHTS (KES Billions)

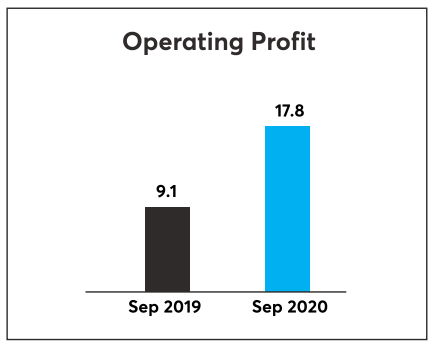



### MESSAGE FROM DIRECTORS

**Financial Statements**

On 1 October 2019 NIC Group PLC (NIC) and Commercial Bank of Africa Limited (CBA) completed the merger of both institutions, resulting in the merged bank, NCBA Bank Kenya PLC (NCBA Bank).

The Quarter Three 2020 financial statements of the Bank are prepared on a prospective basis (a continuation of CBA), representing 9 months performance of NCBA Bank for 2020 while the prior year comparatives are those of CBA. The consolidated financial statements are also a continuation of the financial statements of CBA with an adjustment to capital to reflect the legal capital of NCBA Group PLC (NCBA). The prior year comparatives are those of CBA.

Merger related costs are included in the comprehensive income statements and are disclosed as exceptional items.

**Nine months performance - Operational resilience in a challenging environment**

NCBA Group's fundamentals remain strong and this has resulted in growth in the total assets to close at KES 519 billion. The strong performance at the operating level with an operating profit for the period ended September 2020 was KES 17.8 billion compared to KES 9.1 billion for the same period last year underscores the Group's strength. Conservative provisioning for potential loan losses reduced the operating gains to result in a profit before tax of KES 3.8 billion for the nine months compared to KES 6.8 billion last year. The Group continues to put in place measures to minimize the impact of the pandemic, while implementing its strategic initiatives to safeguard shareholder value and enable the Group's success in future.

The Group's capital and liquidity position is strong – with core capital at KES 64.3 billion and liquidity ratio of 53.36%, and the Group is well positioned to respond to demands of the new environment.

Completion of the Group's business integration across all geographies has led to structural changes. The Group is reviewing its' organisation structure to ensure that resources are focused on meeting customer and other stakeholder needs. As part of this process the Group has announced a voluntary exit programme to employees who may wish to consider early retirement and redundancy program thereafter to ensure the target organization structure which meets future needs is implemented.

**Impact of the Covid-19 Pandemic**

As a result of the pandemic, the economic outlook for 2020 has been lowered substantially due to slowdown in global trade, services and the continued uncertainties around the pandemic impacting exports, tourism and agribusiness sectors. The duration and severity of the economic and public health impact have created a more volatile operating environment that will likely continue to impact NCBA's businesses and future results during the remainder of 2020. While economic activity is gradually resuming, we remain cautious as the shape and timing of the recovery remains uncertain. The NCBA Group has supported its customers throughout this period and has disbursed KES 310 billion in digital loans thus enabling small enterprises and individuals to manage their day-to-day needs and working capital. In addition, the Group has also granted loan moratoriums and restructured loans amounting to KES 76 billion to corporate and retail customers as at end of September 2020.

However, the trends show that the rate of impairments is increasing, due to delayed repayments and an assessment of additional stress that could emerge due to COVID-19. The Group will continue to take a conservative provisioning outlook.

The earnings for the current financial year are expected to be substantially lower than the earnings reported for the same period in 2019, based on the un-audited financial statements for the 9 months ended 30th September 2020, and projected full year financial forecasts. The Board and management remain confident in NCBA's long-term strategy and that the measures that have been put in place will lead to improved future performance.

These financial statements are extracts from the books of NCBA Group PLC. The complete set of quarterly financial statements, statutory and qualitative disclosures can be accessed on the institution's website www.ncbagroup.com. They may also be accessed at the institution's head office located at NCBA Centre, Mara and Ragati Road, Upper Hill.

**BY ORDER OF THE BOARD**
**LIVINGSTONE MURAGE**
**GROUP COMPANY SECRETARY**
**NCBA GROUP PLC**
**25 November 2020**

*DISCLAIMER:*
*The relevant content of the above statement has been issued with the approval of the Capital Markets Authority pursuant to the Capital Markets (Licensing Requirements) (General) Regulations, 2002. As a matter of policy, the Capital Markets Authority assumes no responsibility for the correctness of the statements appearing in this statement.*